3. The good must be free from any defect rendering them unsalable.

4. Conditions as to Quality or Fitness

There is no implied condition as to the quality or fitness for any particular purpose of goods. But goods must be fit for a particular purpose if

(i) The buyer has made known to the seller the particular purpose for which he needs the goods

(ii) The buyer relies on the seller's skill or judgement and

(iii) The goods are of a description which is in course of the seller's business to supply

eg. 'A' bought set of false teeth from a dentist. The set did not fit into A's mouth. Held that he could reject the set as the purpose for which it was bought was known to the dentist.

5. Conditions as to Merchantability

If goods are bought by description and the seller is a dealer in goods of that description, the implied condition is that goods must be of merchantable quality. It only means that the goods must be saleable in the market under that denomination. "A watch that will not keep time, a pen that will not write and tobacco which will not smoke, cannot be regarded as merchantable under such names."

6. Condition as to Wholesomeness

In the case of eatables, the goods must be wholesome besides being merchantable.

eg. 'F' bought milk from 'A', a dairy owner. The milk was contaminated with germs of typhoid fever. F's wife on taking the milk became infected and died of it. 'A' was held liable in damages.

7. Condition Implied by Trade Usage

An implied condition as to quality or fitness for a particular purpose can also be fixed by the usage of trade.

Eg.'X' sold certain drugs by auction to 'Y'. In the auction sale, there is a trade custom to declare any defect in the goods. But 'X' sold the goods without such declaration. Later, such goods were found to be defective. In this case, 'Y' can claim refund of the price on the ground of breach of custom.

Implied Warranties

(i) Quiet Possession

There is an implied warranty that the buyer shall have and enjoy quiet possession of the goods. If the buyer's possession is disturbed by a person having a superior right to that of the seller, the buyer is entitled to claim the damages.

eg. 'X' sold a second hand radio to 'Y' who spendsRs. 100 on the repairs of the radio. This radio was seized by the police as it was a stolen one. 'Y' filed a suit against 'X' for the recovery of damages for breach of warranty of quiet possession including the cost of repair. 'Y' won the case. In other words, he was held entitled to recover the damages.

(ii) Free from Any Encumbrances

The goods bought must not have been subject to any charge or right in favour of a third party. If the buyer's possession is disturbed by reason of the existence of any encumbrance, he is entitled to claim damages for breach of warranty.eg. 'X' borrowed Rs. 50,000 from 'Y' and hypothecated his autorickshaw with 'Y' as security. Later on, 'X' sold the autorickshaw to 'Z' who bought it in good faith. In this case, 'Z' can claim damages from 'X' because his possession is disturbed by 'Y' having a encumbrance on the auto.

(iii) Warranty in the case of Dangerous Goods

Where the seller knows that the goods he is selling are dangerous or likely to be dangerous to the buyer and the buyer is ignorant of the danger, the seller should warn the buyer of the probable danger, otherwise he will be liable to compensate the buyer in case of any injury.eg. 'C' bought

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